

The human understanding when it once adopted an opinion (either as being the received opinion or as being agreeable to itself) draws all things else to support and agree with it. And though there be a greater number and weight of instances to be found on the other side, yet these it either neglects and despises or else by some distinction sets aside and rejects; in order that by this great and pernicious predetermination the authority of its former conclusions may remain inviolate.

George Orwell stated, “People can foresee the future only when it coincides with their own wishes, and the most grossly obvious facts can be ignored when they are unwelcome.” Wason (1960) and Tversky and Kahneman (1974) demonstrated a number of ways in which people look for information that confirms what they already believe while neglecting information that disagrees with their prior beliefs.

Investors subject to confirmation bias who look at recent price moves as representative of the future may invest more in securities that have recently done well and less in those that have not done as well. This can accentuate price trends and lead to their continuation. Friesen, Weller, and Dunham (2009) developed a confirmation bias model that explains the success of technical trading rules using past price patterns.

HERDING, FEEDBACK TRADING, AND OVERREACTION

DeLong et al., (1990) developed the first formal behavioral model to explain momentum profits. Their study identified traders who follow positive feedback strategies, which leads them to buy securities when prices rise and to sell securities when prices fall. This causes price overreaction and subsequent momentum profits. Adding to this effect, Gârleanu and Pedersen (2007) identified risk management schemes using past prices, such as stop-loss orders, which sell in downtrending markets and buy in uptrending markets. These also confirm and reinforce price trends.

Bikhchandani, Hirshleifer, and Welch (1992) described informational cascades that cause traders to jump on the bandwagon where the herding effect feeds upon itself. Herding is also found in equity analysts' recommendations and forecasts (Welch, 2000), in investment newsletters (Graham, 1999), and among institutional investors (Grinblatt, Titman, and Wermers, 1995). John Maynard Keynes identified herding when he said that